

March 2026

Key Definitions

Category 12.0 Manage External Relationships

APQC's Process Classification Framework (PCF)® is a reliable and robust framework used by hundreds of leading companies worldwide. The PCF is made up of 13 categories, as seen in Figure 1. This article highlights the definitions for each element for category **12.0 Manage External Relationships**, specifically. If you're looking to learn more about the PCF, or download the PCF itself, please visit www.apqc.org/process-frameworks.

APQC's Process Classification Framework (PCF)®



Figure 1

Table of Contents

Key Definitions.....	1
Structure of the Article	3
12.0 Manage External Relationships (10012)	5
12.1 Build investor relationships (11010)	5
12.1.1 Plan, build, and manage lender relations (11035)	5
12.1.2 Plan, build, and manage analyst relations (11036)	5
12.1.3 Communicate with shareholders (11037).....	5
12.2 Manage government and industry relationships (11011)	5
12.2.1 Manage government relations (11038)	5
12.2.2 Manage relations with quasi-government bodies (11039)	6
12.2.3 Manage relations with trade or industry groups (11040)	7
12.2.4 Manage lobby activities (11041)	7
12.3 Manage relations with board of directors (11012)	7
12.3.1 Report financial results (11042)	8
12.3.2 Report audit findings (11043)	8
12.4 Manage legal and ethical issues (11013)	8
12.4.1 Create ethics policies (11044)	8
12.4.2 Manage corporate governance policies (11045)	8
12.4.3 Develop and perform preventive law programs (11046).....	8
12.4.4 Ensure compliance (11047)	8
12.4.5 Manage outside counsel (11048)	9
12.4.6 Protect intellectual property (11049)	10
12.4.7 Resolve disputes and litigations (11050)	11
12.4.8 Provide legal advice/counseling (11051)	11
12.4.9 Negotiate and document agreements/contracts (11052)	11
12.5 Manage public relations program (11014)	11
12.5.1 Manage community relations (11066).....	11
12.5.2 Manage media relations (11067)	11
12.5.3 Promote political stability (11068).....	11
12.5.4 Create press releases (11069)	11
12.5.5 Issue press releases (11070)	12

About APQC’s Process Classification Framework (PCF)® 13

Copyright and Attribution for APQC’s PCF 13

About APQC 13

Structure of the Article

Throughout this article, you will see multiple tables, with different colored headers. They relate to the levels of the PCF (Figure 2).

PCF Levels

LEVEL 1 CATEGORY	11.0 Manage Enterprise Risk, Compliance, Remediation and Resiliency (16437) Represents the highest level of process in the enterprise in general groupings such as manage customer service, supply chain, finance, and human capital.
LEVEL 2 PROCESS GROUP	11.1 Manage Enterprise Risk (17060) Groups of processes that are part of executing a category. Examples include perform after sales repairs, procurement, accounts payable, recruit/source, and develop sales strategy.
LEVEL 3 PROCESS	11.1.3 Manage Business Unit and Function Risk (17462) A single process that may include elements related to variants and rework in addition to the core elements needed to accomplish the process. Examples include invoice customer and develop and manage IT security, privacy, and data protection.
LEVEL 4 ACTIVITY	11.1.3.3 Develop Mitigation Plans for Risks (16458) A key step performed to execute a process. Examples include maintain chart of accounts and develop salary/compensation structure and plan.
LEVEL 5 TASK	11.1.3.3.1 Assess Adequacy of Insurance Coverage (18129) An element of work that goes into executing an activity. They are generally much more fine-grained and may vary widely across industries. Examples include create a business case and obtain funding, and design recognition and reward approaches.

Figure 2

Below is a definition of the different elements and numbers you will see throughout the article.

Element Name

This is the name of the element within the PCF. For example, “Manage supply chain for physical products,” as seen in Figure 3.

4.0 Manage supply chain for physical products (20022)
Performing supply chain activities include planning supply chain, procuring materials and services, and managing logistics.

Figure 3

Hierarchy ID

In the PCF, there are identifying numbers to the left of each process element. These numbers are called hierarchy ID numbers and are used by people to help quickly locate a specific process element. Figure 4 has an example of “4.0.”

4.0 Manage supply chain for physical products (20022)
Performing supply chain activities include planning supply chain, procuring materials and services, and managing logistics.

Figure 4

Element ID

The numbers to the right of the process elements (20022 in Figure 5) are called process element identification numbers. Each process element in the PCF has a unique five-digit reference number.

4.0 Manage supply chain for physical products (20022)
Performing supply chain activities include planning supply chain, procuring materials and services, and managing logistics.

Figure 5

Element Definition

Each element in the cross-industry PCF has a definition associated with it. The definition is designed to provide detail and information around what type of work the element consists of.

In Figure 6, and for all elements in this article, you’ll find the definition directly under the colored heading that contains the name of the process element.

4.0 Manage supply chain for physical products (20022)
Performing supply chain activities include planning supply chain, procuring materials and services, and managing logistics.

Figure 6

Outside of the Key Definitions articles (like this one), element definitions can be found in the [Excel version](#) of the PCF, which includes a tab that has definitions for each element.

Definitions

12.0 Manage External Relationships (10012)

Fostering external relationships with stakeholders of the entity, including investors, government and industry, the board of directors, and the general public. This is not related to customer management.

12.1 Build investor relationships (11010)

Creating a strategic management responsibility for integrating finance, communication, marketing, and securities law compliance. Allow the most effective two-way communication among the organization, the financial community, and other constituencies. Enlist the investor relations function to provide market intelligence to corporate management.

12.1.1 Plan, build, and manage lender relations (11035)

Building and managing relations with bankers or lenders through strong products/services strategies that bankers would want to invest in. Foster a receptive environment for low rates of interest, easy access to loans, etc.

12.1.2 Plan, build, and manage analyst relations (11036)

Creating and maintaining long-term relations with analysts. Involve analysts in strategy and product decisions in order to elicit valuable information.

12.1.3 Communicate with shareholders (11037)

Practicing regular, transparent communication with shareholders through annual shareholders' meetings, quarterly earnings calls, shareholders letters, one-on-one emails or calls, etc.

12.2 Manage government and industry relationships (11011)

Creating and maintaining relationships with government and industry representatives.

12.2.1 Manage government relations (11038)

Persuading public and government policy at the local, regional, national, and global level (subject to government regulations).

12.2.1.1 Assess relationships (12869)

Ascertaining how the business entity relates to all levels of government. Identify areas that needs further growth and resources to foster those relationships.

12.2.1.2 Appoint responsible executives (12870)

Assigning executive level resources to manage, grow, and drive relationships with government bodies.

12.2.1.3 Monitor relationships (12871)

Analyzing current relationships with government bodies and entities.

12.2.1.4 Receive input from internal advisors (12872)

Garnering internal advice from an informal group in order to successfully maintain and advance relationships.

12.2.1.5 Receive input from external advisors (12873)

Garnering third party advice from an informal group in order to successfully maintain and advance relationships.

12.2.1.6 Liaise with authorities (12874)

Meeting with government heads and representatives.

12.2.2 Manage relations with quasi-government bodies (11039)

Managing relations with quasi-governmental organizations, corporations, businesses, or any other agency that is treated by national laws and principles to be under the supervision of the government but also distinct and self-directed from the government.

12.2.2.1 Establish relationships with agencies (12875)

Engaging government, regulatory, or industry agencies to establish relationships. Analyze steps and requirements necessary for inclusion, if needed.

12.2.2.2 Respond to audit inquiries (12876)

Cooperating with auditors regarding potential or ongoing inquiries.

12.2.2.3 Maintain documentation of contacts (12877)

Keeping a repository of documents that contain information about the network of partners, prospects and customers. Keep records up-to-date with routine reviews and modify as needed.

12.2.2.4 Plan and manage meetings (12878)

Ensuring regular interaction between business entity and quasi-government bodies in order to maintain established relationships. Collect and record meeting data for further analysis and use.

12.2.3 Manage relations with trade or industry groups (11040)

Managing relations with organizations established and financed by businesses that operate in a specific industry. Participate in public relations actions such as lobbying and publishing, advertising, education, and political donations.

12.2.3.1 Evaluate the requirements for strategic relationships (12879)

Determining the requirements to enter in to an agreement with trade or industry agencies. Discover what activities or processes can be conducted to provide the best mutual outcome.

12.2.3.2 Monitor the success of the partnerships (12880)

Analyzing current relationships with trade and industry groups. Ensure that the partnership is successful and make modifications where needed.

12.2.3.3 Extend or change the relationships (12881)

Providing additional information or inclusion for third party trade or industry entities; or changing existing parameters to modify the current relationship. Communicate and execute changes.

12.2.4 Manage lobby activities (11041)

Managing lobbying activities to affect government policies.

12.3 Manage relations with board of directors (11012)

Maintaining relations with representatives of the stockholders. Establish corporate management-related policies and to make decisions on major company issues. Implement practices designed to engender communication, trust, and cooperation.

12.3.1 Report financial results (11042)

Reporting financial results to management, and releasing results to the public. Report financial statements, including the income statement, balance sheet, and statement of cash flows.

12.3.2 Report audit findings (11043)

Reporting audit findings to management. Practice an internal audit with criteria for confirming a problem, a description of the situation, and the root cause of the problem. Make recommendations that resolve the issue.

12.4 Manage legal and ethical issues (11013)

Managing legal practices to abide by the law, as well as ethical practices.

12.4.1 Create ethics policies (11044)

Creating a code of ethics that communicate the organization's philosophy to employees, vendors, customers, clients, and the public.

12.4.2 Manage corporate governance policies (11045)

Administering the system of rules, practices, and processes through which a company is directed and controlled. Balance stakeholder interests including shareholders, management, customers, suppliers, financiers, government, and the community. Outline a strategy for achieving organizational goals, from action plans and internal controls to performance measurement and corporate disclosure.

12.4.3 Develop and perform preventive law programs (11046)

Creating and applying programs and activities. Encourage the adherence preventive laws, such as environmental law, sex discrimination, computer law, estate planning, corporate compliance, business planning, and property transactions.

12.4.4 Ensure compliance (11047)

Ensuring the organization's compliance position. Validate compliance with different statutes, regulatory directions, and legal principles (using Establish compliance framework and policies [17468]). Coordinate with compliance and risk management personnel.

12.4.4.1 Plan and initiate compliance program (11053)

Employing an internal system or process to identify and reduce the risk of breaching the Competition and Consumer Act 2010. Remedy any breach. Create a culture of compliance. Design compliance programs.

12.4.4.2 Execute compliance program (11054)

Implementing the established compliance program in order to meet the government laws and regulations. Create a compliance team that scrutinizes the rules set out by government bodies such as the Securities and Exchange Commission.

12.4.5 Manage outside counsel (11048)

Managing professionals, sought externally for assistance over legal and ethical concerns. Administer and oversee assistance from subject matter experts and professionals for sourcing expert opinion and counseling over legal and ethical matters.

12.4.5.1 Assess problem and determine work requirements (11056)

Examining the problems and deciding the action requirements for engaging outside counsel. This process element calls upon the organization to internally analyze the issues for which assistance from external counsel is needed. Additionally, the organization needs to break-down the issue, identifying the tasks and exercises where outside counsel can help.

12.4.5.2 Engage/Retain outside counsel if necessary (11057)

Recruiting the assistance of outside counsel for any legal and/or ethical concerns. Engage and/or retain any external counsel sought from subject matter experts and professionals.

12.4.5.3 Receive strategy/budget (11058)

Making a financial plan. This strategy sets out, using figures, an organization's expected future results. Enlist the finance function to support work generated by other business functions in order to build and secure their support for the budget.

12.4.5.4 Receive work product and manage/monitor case and work performed (11059)

Receiving deliverables from outside counsel, and monitoring the efforts committed by them. Track the progress of, collect, and validate the required work product from the subject matter experts and professionals engaged as external counsel. Verify the amount of effort dedicated by these counsels to the issue at hand, in order to confirm their fees.

12.4.5.5 Process payment for legal services (11060)

Making payments to legal advisers for their services. Payments include addressing issues or suits by customers, suppliers, competitors, bankers, government agencies, etc.

12.4.5.6 Track legal activity/performance (11061)

Keeping track of the legal activities and performance of the organization.

12.4.6 Protect intellectual property (11049)

Safeguarding the intellectual property of the organization. This process requires the organization to protect a wide variety of intellectual property created by it. This includes leveraging artificial intelligence (AI) to identify potential infringement of intellectual property and making sure employees are adhering to company policies around use of artificial intelligence (AI). It involves creating and managing non-disclosure agreements (NDAs), following up on current developments in the areas where the organization holds patents, tracking the use of the organization's copyrighted material, creating and upholding licensing terms, and administering policies for safeguarding intellectual property.

12.4.6.1 Manage copyrights, patents, and trademarks (11062)

Managing the patents and copyrights already held or sought by the organization. Administer and oversee applying for, securing, and maintaining intellectual property rights in the form of patents and copyrights. Submit applications for such rights. Handle associated legal issues. Draft and communicate proper attributions. Collect royalties. Monitor any misuse of the intellectual property rights.

12.4.6.2 Maintain intellectual property rights and restrictions (11063)

Managing the upkeep of intellectual property rights by creating and managing a framework of rules, policies, procedures, and restrictions. Outline a clear policy for any possible scenario of their use by any external agent.

12.4.6.3 Administer licensing terms (11064)

Administering and overseeing the terms and policies associated with licensing the organization's intellectual property. Create and manage the policies and terms governing the possible granting of a license to any external agent. Demarcate a clear framework that governs the licensing of any patents or copyrights held by the organization.

12.4.6.4 Administer options (11065)

Managing options regarding licensing agreements. Follow favorable terms and conditions.

12.4.7 Resolve disputes and litigations (11050)

Resolving disputes or civil lawsuits internally or externally.

12.4.8 Provide legal advice/counseling (11051)

Providing legal advice concerning the substance or procedure of a law in relation to a particular situation.

12.4.9 Negotiate and document agreements/contracts (11052)

Negotiating terms to reach a final draft of a contract that is acceptable to all parties.

12.5 Manage public relations program (11014)

Managing a public relations programs through business and communications skills.

12.5.1 Manage community relations (11066)

Developing and administering community relations. Establish business connections with the people constituting the environment the organization operates in and draws resources from in order to foster mutual understanding, trust, and support. Create programs that promote the organization's image in a positive and community-oriented way.

12.5.2 Manage media relations (11067)

Developing and managing relations with media. Develop connections with journalists to solicit critical, third-party endorsements for a product, issue, service, or organization.

12.5.3 Promote political stability (11068)

Promoting political security and stability in the regions where the organization conducts business. Encourage political stability in the regions where the organization operates. Support civic programs, citizen engagement, connection platforms, etc.

12.5.4 Create press releases (11069)

Developing press releases to communicate developments and generate interest in the organization.

12.5.5 Issue press releases (11070)

Issuing press releases to carefully selected media in distribution channels such as the web, newspapers, and social media.

About APQC's Process Classification Framework (PCF)[®]

The Framework for Process Improvement

Experience shows that the potential of benchmarking to drive dramatic improvement lies squarely in making out-of-the-box comparisons and searching for insights not typically found within intra-industry paradigms. To enable this beneficial benchmarking, the PCF serves as a high-level, industry-neutral enterprise process model that allows organizations to see their business processes from a cross-industry viewpoint.

The PCF enables organizations to understand their inner workings from a horizontal process perspective, rather than a vertical functional viewpoint. The PCF does not list all processes within a specific organization, and every process listed in the framework is not present in every organization.

Originally created in 1992 by APQC and a group of members, the framework has experienced more than twenty years of creative use by thousands of organizations worldwide. The PCF is supported by APQC's Open Standards Benchmarking research. It is continuously enhanced as APQC's Open Standards Benchmarking team further develops definitions, processes, and measures. Please visit APQC's web site periodically for updates. The PCF is available for organizations of all industries and sizes at no charge by visiting <http://www.apqc.org/pcf>.

Copyright and Attribution for APQC's PCF

©2026 APQC. ALL RIGHTS RESERVED.

The Process Classification Framework is the copyrighted intellectual property of APQC. APQC encourages the wide distribution, discussion, and use of the PCF for classifying and defining organizational processes. Accordingly, APQC hereby grants you a perpetual, worldwide, royalty-free license to use, copy, publish, modify, and create derivative works of the PCF, provided that all copies of the PCF and any derivative works contain the following attribution:

APQC's Process Classification Framework[®] (PCF) is an open standard developed by APQC, a nonprofit that promotes benchmarking and best practices worldwide. The PCF is intended to facilitate organizational improvement through process management and benchmarking, regardless of industry, size, or geography. To download the full PCF or industry-specific versions of the PCF, as well as associated measures and benchmarking, please visit www.apqc.org/pcf.

About APQC

APQC (American Productivity & Quality Center) is the world's foremost authority in benchmarking, best practices, process and performance improvement, and knowledge management (KM). With more than 1,000 member organizations worldwide, APQC provides the information, data, and insights organizations need to support decision-making and develop internal skills. [Learn more.](#)